

FORM TP 2011225



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MAY/JUNE 2011

CARIBBEAN EXAMINATIONS COUNCIL

ADVANCED PROFICIENCY EXAMINATION

MANAGEMENT OF BUSINESS

UNIT 1 – PAPER 02

2½ hours

11 MAY 2011 (p.m.)

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C.E.S.E.C.

INSTRUCTIONS TO CANDIDATES

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from EACH section.
4. Each question is worth a total of **25 marks**.
5. The overall total for Paper 02 is **75 marks**.



SECTION A

MODULE 1: BUSINESS AND ITS ENVIRONMENT

Answer ONE question from this section.

1. Mr. Tyre is faced with TWO options, whether to expand his existing car repairs business or to buy into a franchise, as a solution to the problems faced by the business.
The following are steps in the decision-making process:

1.3.2.3.1 Definition of the problem

- (ii) Analysis
 - (iii) Implementation
 - (iv) Evaluation
- (a) Discuss how EACH of the steps above may assist Mr. Tyre in deciding which of the two options to choose. **[16 marks]**
- (b) Explain ONE way in which EACH of the following environmental factors may impact Mr. Tyre's car repairs business:
- (i) Globalization
 - (ii) Information technology
 - (iii) Government regulations **[9 marks]**

Total 25 marks

2. Miss Dressy is planning to start a fashion designing business. She was advised that the first step in setting up a business is to establish the 'business objectives'.
- (a) Explain what is meant by the term 'business objective'. **[3 marks]**
 - (b) Discuss THREE reasons why it is important for Miss Dressy to establish objectives for her business. **[12 marks]**
 - (c) Identify TWO business objectives that Miss Dressy should aim to achieve and discuss the importance of EACH objective to the business. **[10 marks]**

Total 25 marks

GO ON TO THE NEXT PAGE

SECTION B

MODULE 2: MANAGEMENT OF PEOPLE

Answer ONE question from this section.

3. Frederick Herzberg has developed the 'Two Factor Theory' of motivation in which he argues that job satisfaction and dissatisfaction are caused by two distinct factors.

- (a) Outline the TWO factors identified by Herzberg in his theory, giving TWO examples of EACH. [10 marks]
- (b) Explain how the TWO factors identified in (a) above lead to job satisfaction OR dissatisfaction in an organization. [8 marks]
- (c) Outline a three-step approach, based on Herzberg's Two Factor Theory, which you, as a Human Resource Manager, would adopt in order to enhance job satisfaction in your organization. [7 marks]

Total 25 marks

4. The workers of Jewellery Plus Co. Ltd., a very large organization, are complaining about poor communication which has resulted in the organization having problems meeting its goals.

- (a) Define the term 'communication'. [2 marks]
- (b) Discuss THREE possible barriers to effective communication at Jewellery Plus and outline ONE way in which EACH barrier discussed may be overcome. [15 marks]
- (c) Outline TWO features of EACH of the following types of communication network:
 - (i) Formal
 - (ii) Informal [8 marks]

Total 25 marks

GO ON TO THE NEXT PAGE

SECTION C

MODULE 3: BUSINESS FINANCE AND ACCOUNTING

Answer ONE question from this section.

5. The published accounts of Multi-link Inc. recorded the following information for the last two years of operation.

Year	Capital Employed	Net Profit	Gross Profit	Sales Turnover
2009	4.5	0.75	1.35	5.0
2010	3.0	0.375	1.025	4.10

- (a) Using the information in the table above, calculate the following profitability ratios and use your results to assess the performance of the company over the two-year period:

- (i) Gross profit margin
- (ii) Net profit margin
- (iii) Return on capital employed **[15 marks]**

- (b) Explain TWO limitations of using accounting ratios to assess the performance of a firm and suggest how EACH limitation may be overcome. **[10 marks]**

Total 25 marks

6. (a) State ONE way in which the final accounts of a business serve as a **major** source of information for EACH of the following stakeholders:

- (i) Investors
- (ii) Suppliers
- (iii) Government
- (iv) Business Managers **[8 marks]**

GO ON TO THE NEXT PAGE

John, the owner and operator of John's Chemicals & Supplies, is in the process of examining his cash flow statement in order to make some informed decisions regarding his business.

(b) Outline to John

- (i) the meaning of the term 'cash flow statement' [2 marks]
- (ii) TWO advantages of a cash flow statement to his business. [4 marks]

Below is a list of John's expenses, sales and other figures for the period ending May 31, 2010.

<u>Expenses</u>		<u>Sales & Other Figures</u>	
	\$		\$
Electricity	1 020	Sales	55 000
Stationery	250	Opening stock	18 000
Rent	1 830	Purchases	30 000
Advertising	1 490	Profit on sale of plant	4 000
Depreciation of motor vehicles	2 000	Closing stock	7 500
Insurances	1 090		
Sundry expenses	248		

- (c) Construct the Trading and Profit and Loss Account for John's Chemicals & Supplies for the period ended May 31, 2010. [11 marks]

Total 25 marks

END OF TEST